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Japan Equity Strategy

Who's Serious This Time? Our Analysts' Take on Japan's Mid-Term Plans

Governance reform is lifting pre-announcement expectations for mid-term plans. Companies that replaced their CEO or CFO during the previous plan period tend to signal more ambitious strategies and have shown a tendency to outperform. So who is truly serious this time? We highlight key names based on analyst input.

Key Takeaways

- As governance reform advances, market demands for capital efficiency are set to intensify, supporting stronger pre-announcement expectations for mid-term plans.
- The revised Corporate Governance Code, due this summer, is expected to require greater scrutiny of capital allocation, including the effective use of cash.
- Investors are focused not on higher payouts per se, but on sustainable growth and the quality of capital allocation; we therefore favor companies delivering stable growth without excessive payout expansion.
- We highlight companies with CEO/CFO changes: firms with management changes within 180 days prior to plan announcements have tended to see stronger pre-announcement share-price momentum.
- Our analysts identify key stocks by assessing management commitment to new plans and screening for upcoming announcements.

Exhibit 1: Stocks for which analysts expect a positive stock-price reaction (with CEO/CFO changes)

Ticker	Company Name	Analyst	Expected timing (month/quarter)	Priority strategic focus	Analyst view on upcoming MTP
1951.T	Exeo Group	Yagi, Ryo	May	Growth strategy for non-carrier businesses	Focus is on the strategy for growing the urban infrastructure and system solutions businesses.
2802.T	Ajinomoto	Tsunoyama, Tomonobu	May-2027	Update of the mid-term ASV management roadmap. Accelerate profit growth in healthcare, etc. (ABF, CDMO), and improve profitability in the Growth Strategy	The ABF and CDMO businesses are moving from an investment phase to a harvesting phase. We expect the company's upward ambition with high targets and growth opportunities not available to other food companies to be re-recognized.
4043.T	Tokuyama	Watanabe, Ryoichi	May	Maximization of corporate value	If the story is convincing, we think it would be positive for shares.
5101.T	Yokohama Rubber	Kakiuchi, Shinji	Feb-2027	Maximization of corporate value	Focus is on synergy effects (cross-selling, production efficiency improvements) in agricultural machinery tires and mining tires acquired in the past.
7182.T	Japan Post Bank	Nagasaka, Mia	May	Improving ROE, restructuring the JGB portfolio, shareholder returns	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate a full-scale rebuild of the JGB portfolio and enhanced shareholder returns in light of capital accumulation.
7240.T	NOK	Kakiuchi, Shinji	May	Near term: cost improvement. Long-term: growth opportunity from the integration	Even if quantitative financial targets are not disclosed for the new firm, disclosure of concrete synergies/initiatives (even qualitative) would be positive.
7936.T	Asics	Furukawa, Ai	November	Accelerating the pace of earnings expansion in Asia	Acceleration of the pace of earnings expansion in Asia and a strategy to expand sales of mid- to high-priced products.
7988.T	Nifco	Kakiuchi, Shinji	May	Concrete measures for growth strategy and shareholder returns, and clarification of the optimal capital structure	We believe prospects for growth strategy and enhanced shareholder returns are not fully priced in; expect positive initial share price reaction after full-year results.
8309.T	SMTG	Nagasaka, Mia	May	Improving ROE, fee income, shareholder returns	Key points to watch are fee income growth, evolution of the digital strategy, and enhanced shareholder returns.
8316.T	SMFG	Nagasaka, Mia	May	Improving ROE, fee income, shareholder returns	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate growth in net interest income, expansion of fee income, and enhanced shareholder returns.

Source: Morgan Stanley Research

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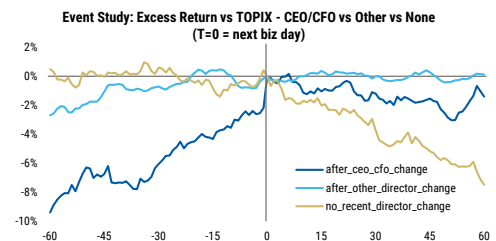
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Exhibit 2: Event study of companies announcing mid-term plans (2025): cumulative average excess returns vs. TOPIX (CEO/CFO changes / other board changes / no board changes)



Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

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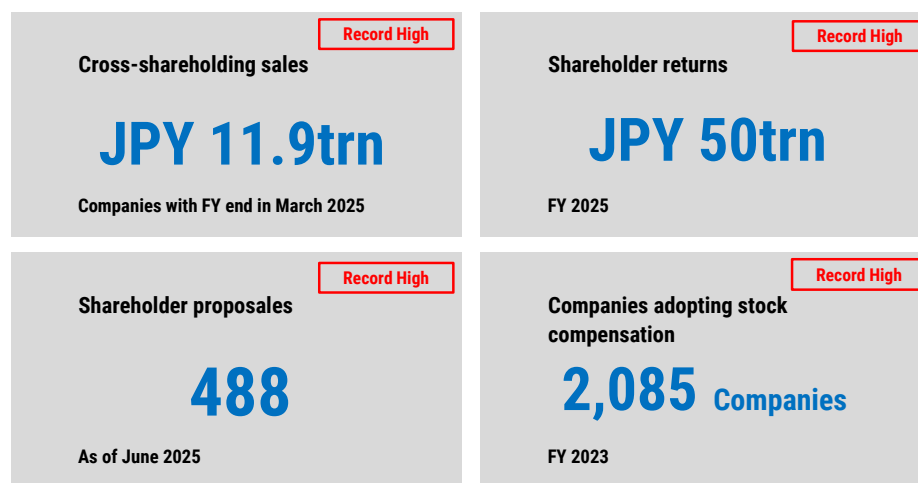
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Who's Serious This Time? Our Analysts' Take on Japan's Mid-Term Plans

As companies enter a busy season for new mid-term plan announcements, the market is likely to focus on how they intend to deliver sustainable earnings growth without simply boosting payout.

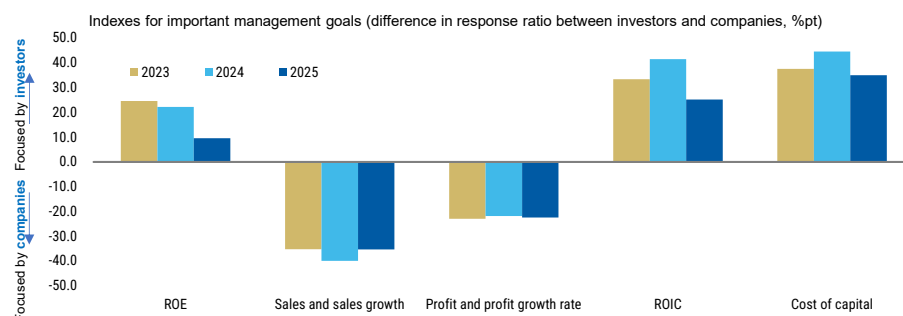
Will the gap between companies and investors over capital efficiency narrow after the release of new mid-term plans? Since the Tokyo Stock Exchange's market restructuring in April 2022—marking the start of a range of initiatives aimed at improving capital efficiency at Japanese companies—four years have now passed. The effects can be seen in record-high levels of shareholder proposals, adoption of stock compensation plans, sales of cross-shareholdings, and shareholder returns ([Exhibit 3](#))

Exhibit 3: Corporate governance reform continues to make steady progress: sales of cross-shareholdings, shareholder returns, shareholder proposals, and the number of companies adopting stock compensation plans have all reached record highs

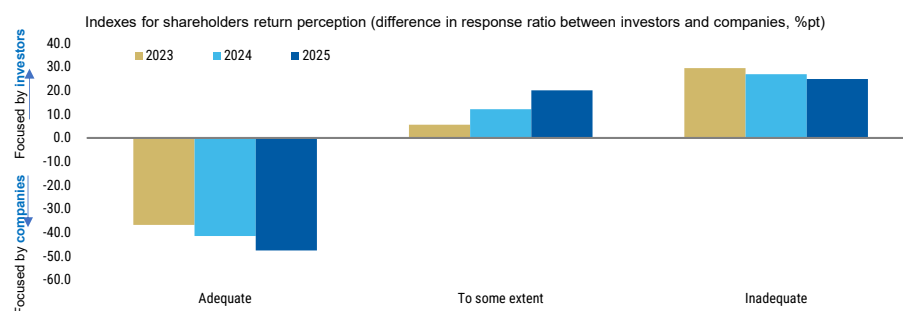


Source: METI, Shojihomu, QUICK Workstation, Morgan Stanley Research

That said, a sizable gap remains between companies and investors in how they view efforts to improve capital efficiency. Investors place more weight on profitability and efficiency metrics such as ROIC and cost of capital, while companies still tend to focus more on growth in scale, such as revenue and earnings growth. On ROE, however, companies and investors are increasingly on the same page. Although a significant gap remains in perceptions of the adequacy of shareholder return and dividend policies, positive investor assessments have been steadily increasing.

Exhibit 4: Financial metrics emphasized by companies and investors

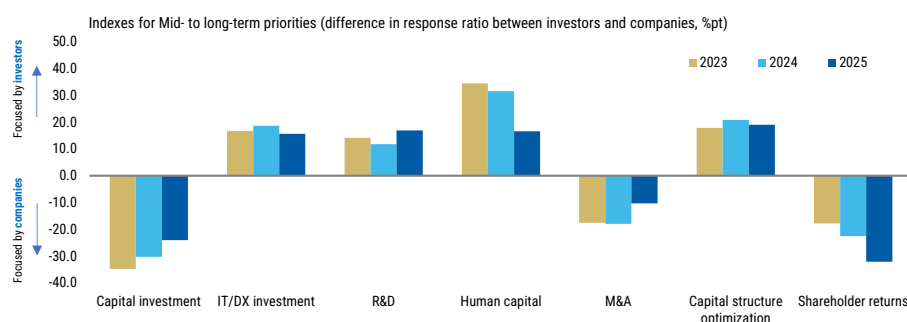
Source: The Life Insurance Association of Japan, "Initiatives to Enhance Equity Value," Morgan Stanley Research

Exhibit 5: Corporate and investor perceptions regarding the adequacy of shareholder return and dividend policies

Source: The Life Insurance Association of Japan, "Initiatives to Enhance Equity Value," Morgan Stanley Research

As we have repeatedly noted, we expect the Financial Services Agency to strengthen oversight of corporate cash holdings through revisions to the Corporate Governance Code going forward (see: [Sho-Time: Governance Reform in Action—Accountability for Dormant Cash \(27 Oct 2025\)](#)). Prime Minister Takaichi has consistently shown strong interest in how corporate cash is being utilized. In response to tighter FSA oversight of cash holdings, we expect companies not only to revisit balance-sheet management—including whether there are business investments with greater value than buybacks—but also to accelerate initiatives aimed at improving profitability.

What matters here, however, is that investors are not simply demanding "maximum payout" or "more aggressive investment." Rather, investors generally place greater emphasis on sustainable earnings growth, steady improvement in growth rates, strong cash-generation capability, and consistency and rationality in capital allocation.

Exhibit 6: Key medium- to long-term investment and financial priorities

Source: The Life Insurance Association of Japan, "Initiatives to Enhance Equity Value," Morgan Stanley Research :

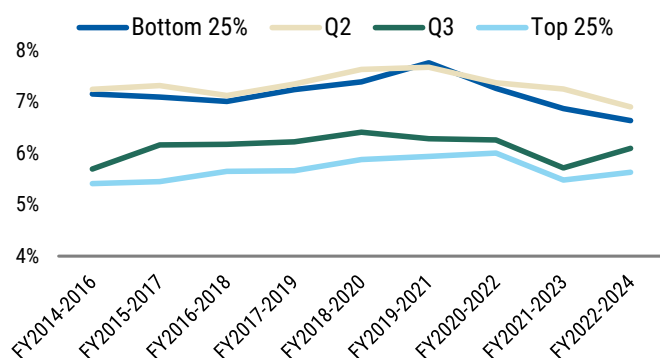
At Japanese companies, past M&A has not always translated into higher shareholder value, and investor views on growth investment therefore remain cautious. What matters is not the policy statement of “utilizing cash” itself, but the presentation of a concrete and credible story explaining how such use of cash will enhance corporate value.

Comparing the top 25% and bottom 25% of companies by EBITDA CAGR over FY2014–FY2024, the ratio of reinvestment (R&D, capex, and acquisitions of subsidiaries/affiliates) to sales has remained consistently lower for the high-growth group ([Exhibit 7](#)). In other words, the reinvestment-to-sales ratio has been stable, and at least in terms of the amount of investment, high-growth companies have not necessarily invested more.

By contrast, when the same reinvestment is measured against EBITDA, the groups were at roughly similar levels 10 years ago, but since then the ratio has declined for the high-growth group and risen for the low-growth group, with the gap widening over time ([Exhibit 8](#)). While the reinvestment-to-sales ratio has remained stable, the large divergence in reinvestment-to-EBITDA implies that more earnings growth is being generated per unit of investment—in other words, cash-generation capability is stronger.

Exhibit 7: Reinvestment as a percentage of sales (by EBITDA growth quartile)

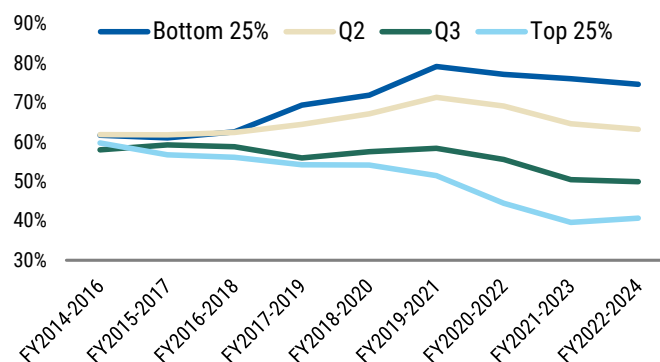
(3y rolling average)



Source: QUICK Workstation, Morgan Stanley Research

Exhibit 8: Reinvestment as a percentage of EBITDA (by EBITDA growth quartile)

(3y rolling average)

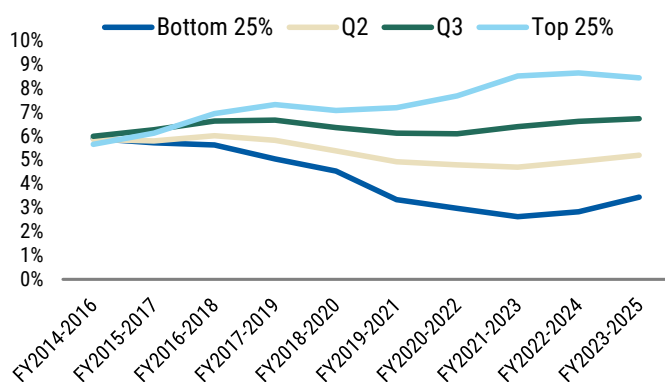


QUICK Workstation, Morgan Stanley Research

These companies have reallocated capital toward higher-return areas by exiting unprofitable businesses and shifting resources into growth businesses, thereby improving ROIC alongside margin expansion ([Exhibit 9](#)). As a result, ROE has also risen sustainably, with ROIC remaining above the cost of capital ([Exhibit 10](#)). Although the two groups were similar at the starting point, a meaningful gap has emerged over the past decade, indicating that differences in the quality of capital allocation and profitability improvement have created long-term performance divergence.

Exhibit 9: ROIC trend (median, by EBITDA growth quartile)

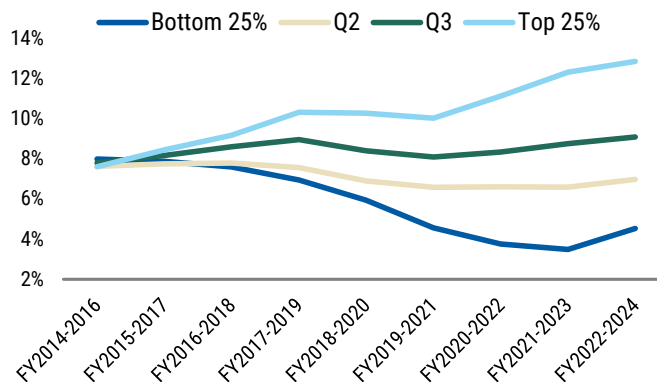
(3y rolling average)



Source: QUICK Workstation, Morgan Stanley Research

Exhibit 10: ROE trend (median, by EBITDA growth quartile)

(3y rolling average)



Source: QUICK Workstation, Morgan Stanley Research

This analysis suggests that high-growth companies have steadily improved the marginal efficiency of investment over the long term. What matters for corporate value creation is not simply the level of shareholder return or the amount invested, but the quality of capital allocation.

From this perspective, our screening ([Exhibit 11](#)) is designed to identify companies that remain possibly undervalued despite exhibiting high earnings-growth efficiency relative to reinvestment and improving capital profitability and financial strength. The idea is to identify companies where capital allocation has improved and have superior reinvestment efficiency relative to peers within the same sector, yet whose valuations have not been fully re-rated.

Exhibit 11: Improving reinvestment efficiency x low-P/B screen

Code	Stock	TSE-33 Sec	Stock price (JPY: 4/1)	Market Cap (JPYbn)	P/E (est; X)	P/B (X)	Expected Div Yield (%)
1662	JAPAN PETROLEUM EXPLORATION	Mining	2,608	670	14.8	1.2	1.2
2001	NIPPON	Foods	2,713	230	11.1	0.8	0.8
3877	CHUETSU PULP & PAPER	Pulp&Paper	1,839	25	9.8	0.4	0.4
5019	IDEMITSU KOSAN	Oil&Coal P.	1,542	1,987	25.2	1.1	1.1
5202	NIPPON SHEET GLASS	Gl.&Cer.Prod	478	50	0.0	0.4	0.4
5410	GODO STEEL	Iron & Steel	3,635	62	6.3	0.4	0.4
6779	NIHON DEMPA KOGYO	Elec. App.	1,171	27	15.0	0.9	0.9
6961	ENPLAS	Elec. App.	11,660	113	22.3	1.7	1.7
7231	TOPY INDUSTRIES	Trans.Equip.	2,900	70	7.0	0.4	0.4
7239	TACHI-S	Trans.Equip.	2,028	71	8.7	0.7	0.7
7242	KYB	Trans.Equip.	4,145	209	6.5	0.8	0.8
7246	PRESS KOGYO	Trans.Equip.	810	79	11.3	0.7	0.7
7261	MAZDA MOTOR	Trans.Equip.	1,039	656	32.8	0.4	0.4
8075	SHINSHO	Whsle Trade	2,292	61	7.1	0.6	0.6
8103	MEIWA	Whsle Trade	789	32	10.6	0.8	0.8
8219	AOYAMA TRADING	Retail Trade	805	122	14.6	0.7	0.7
9031	NISHI-NIPPON RAILROAD	Land Trans.	3,009	239	7.3	0.8	0.8
9104	MITSUI O.S.K. LINES	Marine Trans	6,496	2,358	11.2	0.8	0.8
9310	JAPAN TRASCITY	Whsng&H.Tr.S	1,231	82	12.7	0.8	0.8
9502	CHUBU ELECTRIC POWER	Elec.Pwr&Gas	2,582	1,957	10.5	0.6	0.6
9513	ELECTRIC POWER DEVELOPMENT	Elec.Pwr&Gas	4,331	793	8.6	0.6	0.6
9534	HOKKAIDO GAS	Elec.Pwr&Gas	871	77	6.9	0.8	0.8

Note: The universe comprises ongoing TSE Prime non-bank companies (listed during the calculation period) with March fiscal year-ends. Financial data as of June 1, 2025 are used. Within each TSE 17 sector, companies are ranked by EBITDA growth in FY(t-2) to FY(t) relative to the average reinvestment burden (total reinvestment ÷ EBITDA) over FY(t-5) to FY(t-3). From those in the top 25%, we select companies that also meet $\Delta ROIC > 0$ and $\Delta NCR \geq 0$ (over FY(t-5) to FY(t-3)), and then take the bottom 20% by PBR. Estimated P/E is based on Toyo Keizai forecasts.

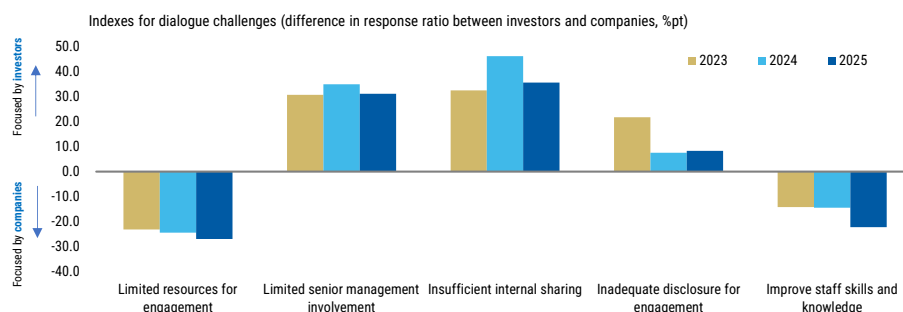
Source: Bloomberg, QUICK Workstation, Toyo Keizai, Morgan Stanley Research.

As companies roll out new mid-term plans in the coming months, the market is likely to focus first on the narrative for how they intend to achieve this kind of sustainable earnings growth.

From a top-down perspective, focus on companies set to announce new mid-term plans and with CEO/CFO changes

As the new mid-term plan announcement season gathers pace, we believe the key question is how far the perception gap between companies and investors can be bridged. At present, investors continue to point to shortcomings in company-investor dialogue, such as insufficient involvement by top management including the CEO and CFO, and inadequate sharing of investor feedback from IR activities with senior management (Exhibit 12). In such an environment, the persuasiveness of mid-term plans is likely to be limited, making it harder for them to translate into stock market support.

Exhibit 12: Challenges in dialogue from the perspectives of both companies and investors



Source: The Life Insurance Association of Japan, "Initiatives to Enhance Equity Value," Morgan Stanley Research

Conversely, mid-term plans in which top management itself leads investor dialogue and incorporates that feedback into strategy and KPIs are more likely to earn market confidence.

The clear advantage of companies with CEO/CFO changes: This is why companies announcing new mid-term plans alongside CEO or CFO changes warrant particular attention. In our analysis, among companies that announced new mid-term plans in 2025, those that had changed their CEO or CFO within 180 days before the announcement showed a tendency for their shares to rise even before the plan release, with returns continuing to expand afterward ([Exhibit 13](#)).

The same pattern is also evident in excess returns relative to TOPIX, suggesting that the outperformance reflects stock-specific factors rather than a general rise in the broader market ([Exhibit 14](#)). Notably, companies with no board-level changes underperformed the index after announcing their mid-term plans.

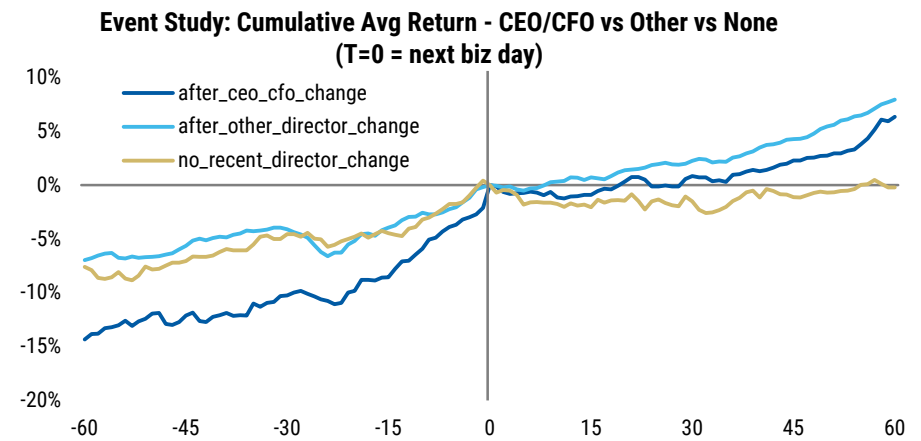
Daily hit-rate analysis—the ratio of positive-return days to negative-return days—also shows that for companies with CEO/CFO changes, positive-return days remained dominant on a sustained basis both before and after the event ([Exhibit 15](#)).

Possible reasons include: 1) management renewal creates room for strategic change; 2) companies are more likely to present KPIs and capital allocation policies that reflect the investor perspective; and 3) the market begins to price in a change in communication posture.

In other words, for companies with CEO or CFO changes, it is highly likely that the stock price is reflecting expectations that the mid-term plan will embody a change in the management decision-making process itself.

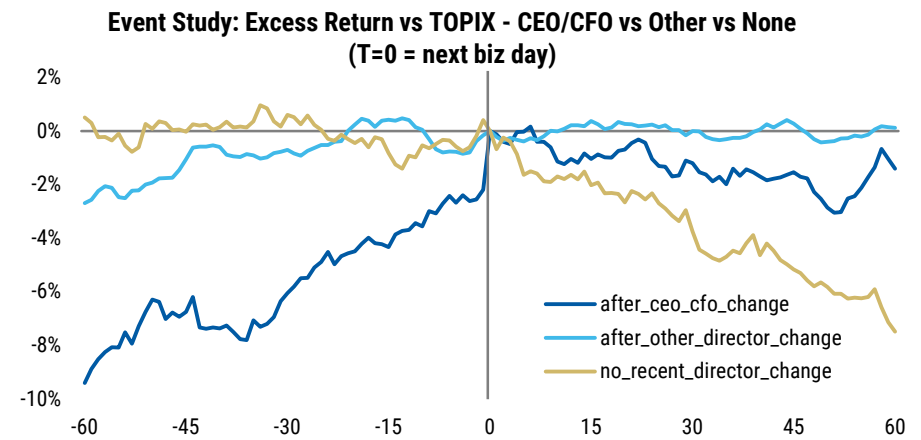
In Exhibits ([Exhibit 20](#) to [Exhibit 27](#)) below, for companies that appear likely to begin a new mid-term plan in FY2026, we provide analyst assessments for names under our coverage, and flag whether board-level changes have occurred for names outside our coverage universe (stock selection as of March 26). The key to capturing alpha from mid-term plans is to assess the gap between prior expectations and management's true level of commitment. Mid-term business plans are a uniquely Japanese catalyst. Starting from the steady progress of governance reform in Japan, the market should focus on the narrative of how Japanese companies will achieve sustainable earnings growth.

Exhibit 13: Event study of companies announcing mid-term plans (2025): cumulative average returns (CEO/CFO changes / other board changes / no board changes)



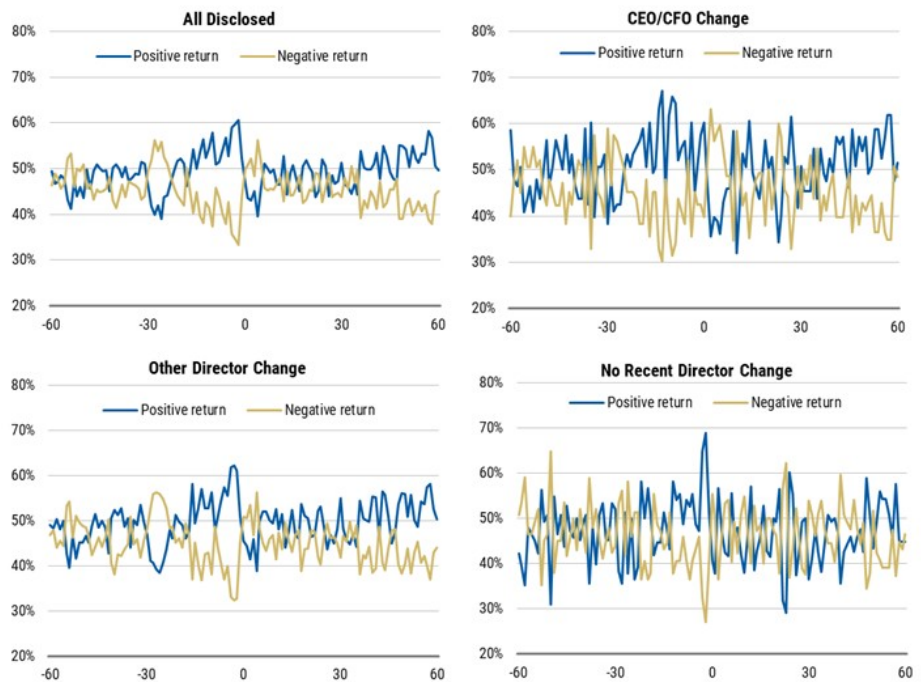
Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

Exhibit 14: Event study of companies announcing mid-term plans (2025): cumulative average excess returns vs. TOPIX (CEO/CFO changes / other board changes / no board changes)



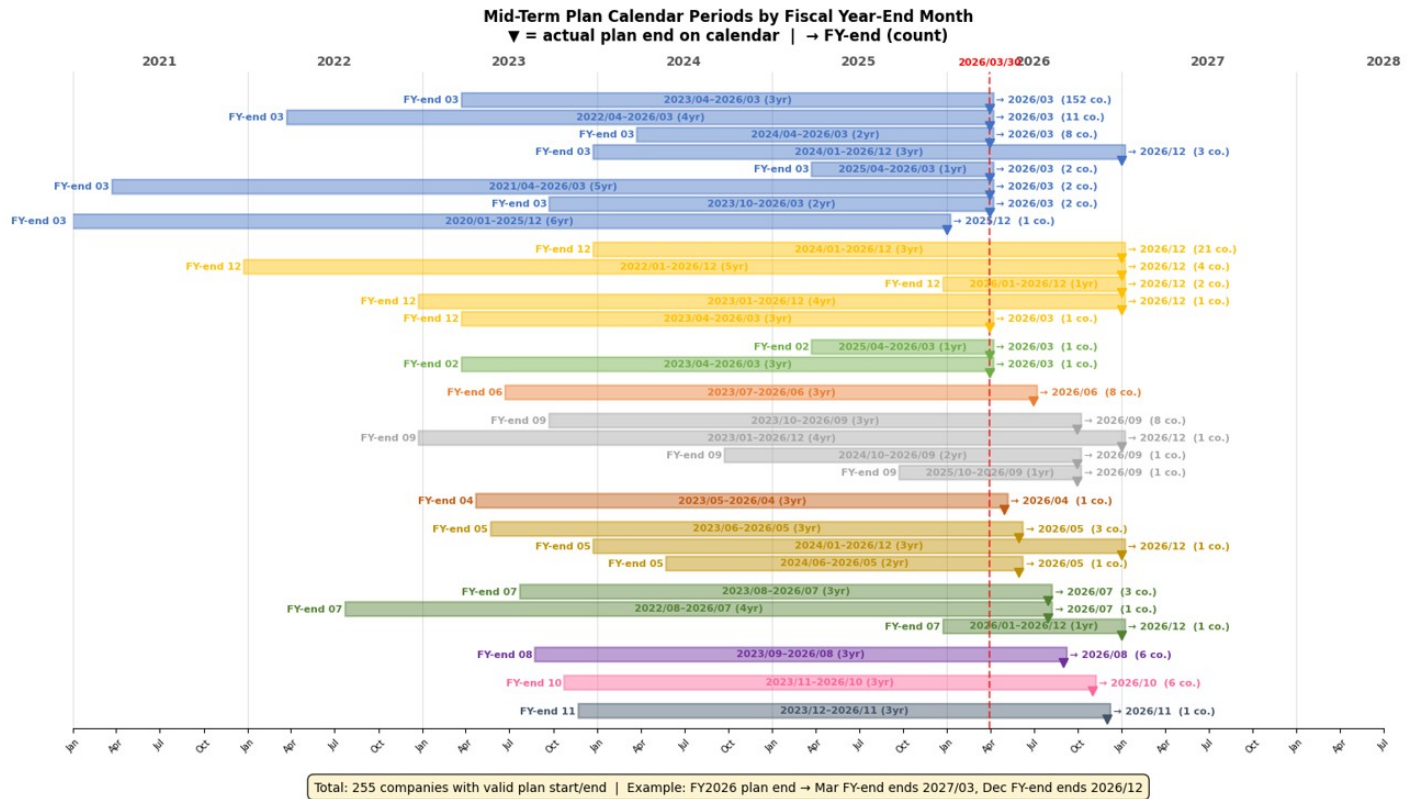
Note: See [Exhibit 1](#) [Exhibit 1](#) for calculation methodology.
Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

Exhibit 15: Ratio of positive to negative return days for companies announcing mid-term plans (2025)



Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

Exhibit 16: FY2026 mid-term plan announcement schedule



Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

Analysts identify stocks to watch ahead of new mid-term plans

In this analyst survey, we organized expected stock-price reactions for companies likely to announce new mid-term plans. The results confirm that stock-price reactions depend heavily on three factors:

- (1) whether management has been refreshed,
- (2) the specificity of the growth strategy, and
- (3) the credibility of the capital allocation framework.

1. Stocks for which our analysts expect a positive stock-price reaction

In this survey, the names classified as “CEO/CFO change × positive” are those where our analysts believe management renewal is likely to lead to positive messaging in the new mid-term plan on both growth strategy and capital policy. What these companies have in common is not simply updated numerical targets, but the expectation of stronger explanatory power around issues investors care about, including business portfolio reform, enhanced shareholder returns, and improved ROE.

Looking at individual names, for **EXEO Group (1951)**, attention is focused on its strategy for growing urban infrastructure and system solutions; if the growth story in non-carrier businesses becomes clearer, the stock could see scope for re-rating. For **Ajinomoto (2802)**, our analyst sees ABF and CDMO as entering the harvest phase after a period of investment, and renewed recognition of growth opportunities beyond food could support the stock. For **Tokuyama (4043)**, our analyst's view is that the stock would react positively if management presents a convincing story, with the credibility of portfolio reform and enhanced shareholder returns being key. For **Yokohama Rubber (5101)**, the focus is on whether synergies in the acquired agricultural machinery and mining tire businesses—such as cross-selling and improved production efficiency—become visible.

For **NOK (7240)**, attention centers on short-term cost improvements and post-integration growth opportunities. For **Japan Post Bank (7182)**, the key themes are a more full-fledged restructuring of the JGB portfolio and stronger shareholder returns. For **ASICS (7936)**, evaluation will likely hinge on accelerating earnings expansion in Asia and increased sales of mid- to high-priced products. For **Nifco (7988)**, both growth strategy and shareholder returns matter. For **Sumitomo Mitsui Financial Group (8316)**, the focus is on higher ROE, growth in fee income, and enhanced shareholder returns.

Overall, we think this group is likely to benefit from strong investor expectations that management changes will lead to more investor-oriented updates to quantitative targets and capital allocation policy in the new mid-term plans.

Exhibit 17: Stocks for which our analysts expect a positive stock-price reaction (with CEO/CFO changes)

Ticker	Company Name	Analyst	Expected timing (month/quarter)	Priority strategic focus	Analyst view on upcoming MTP
1951.T	Exeo Group	Yagi, Ryo	May	Growth strategy for non-carrier businesses	Focus is on the strategy for growing the urban infrastructure and system solutions businesses.
2802.T	Ajinomoto	Tsunoyama, Tomonobu	May-2027	Update of the mid-term ASV management roadmap. Accelerate profit growth in healthcare, etc. (ABF, CDMO), and improve profitability in the Growth Strategy	The ABF and CDMO businesses are moving from an investment phase to a harvesting phase. We expect the company's upward ambition with high targets and growth opportunities not available to other food companies to be re-recognized. If the story is convincing, we think it would be positive for shares.
4043.T	Tokuyama	Watanabe, Ryoichi	May	Maximization of corporate value	Focus is on synergy effects (cross-selling, production efficiency improvements) in agricultural machinery tires and mining tires acquired in the past.
5101.T	Yokohama Rubber	Kakiuchi, Shinji	Feb-2027	Improving ROE, restructuring the JGB portfolio, shareholder returns	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate a full-scale rebuild of the JGB portfolio and enhanced shareholder returns in light of capital accumulation.
7182.T	Japan Post Bank	Nagasaka, Mia	May	Near term: cost improvement. Long-term: growth opportunity from the integration	Even if quantitative financial targets are not disclosed for the new firm, disclosure of concrete synergies/initiatives (even qualitative) would be positive.
7240.T	NOK	Kakiuchi, Shinji	May	Accelerating the pace of earnings expansion in Asia	Acceleration of the pace of earnings expansion in Asia and a strategy to expand sales of mid- to high-priced products.
7936.T	Asics	Furukawa, Ai	November	Concrete measures for growth strategy and shareholder returns, and clarification of the optimal capital structure	We believe prospects for growth strategy and enhanced shareholder returns are not fully priced in; expect positive initial share price reaction after full-year results.
7988.T	Nifco	Kakiuchi, Shinji	May	Improving ROE, fee income, shareholder returns	Key points to watch are fee income growth, evolution of the digital strategy, and enhanced shareholder returns.
8309.T	SMTG	Nagasaka, Mia	May	Improving ROE, fee income, shareholder returns	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate growth in net interest income, expansion of fee income, and enhanced shareholder returns.
8316.T	SMFG	Nagasaka, Mia	May		

Source: Morgan Stanley Research

2. Stocks for which our analysts expect a positive stock-price reaction (without CEO/CFO changes)

The “no CEO/CFO change × positive” names in this survey form a group where the positive stock-price outlook is driven not by management renewal, but by confidence in the progress and execution of existing strategies.

According to our analysts' comments, for **Persol Holdings (2181)**, focus is on a policy of stable double-digit earnings growth and a review of the APAC business. For **ALSOK (2331)**, the key issues are the possibility of buybacks based on the company's cash-allocation policy and its ROE target. For **Kobe Bussan (3038)**, investors are looking for more concrete store-opening plans in urban areas including the Tokyo metropolitan region. For **FOOD & LIFE Companies (3563)**, the market is focused on further store expansion in China and the outlook for the US business, with renewed confirmation of domestic-demand-led growth serving as a positive catalyst. For **NOF (4403)**, upside to operating profit targets driven by growth in defense-related products could matter, while for the three electric wire companies, our analyst believes stock-price reactions are likely to hinge on growth narratives tied to AI and data-center demand, including optical products, connectors, and multi-core optical fiber cables. In addition, for **Nichicon (6996)** and **Nippon Chemi-Con (6997)**, the focal point is whether KPIs adequately reflect strong demand linked to AI servers. For **Mitsubishi Motors (7211)**, attention is on measures to counter Chinese OEMs and on alliance cooperation. For **Fuji Kyuko (9010)**, the market will watch for a shift from a defensive plan focused on financial soundness to a more offensive strategy centered on growth, together with stronger shareholder returns.

Overall, we believe this group offers relatively high growth visibility along the extension of existing strategies, and in the new mid-term plans, stock upside is likely to come less from surprise and more from “reconfirmation of execution capability.”

Exhibit 18: Stocks for which our analysts expect a positive stock-price reaction (without CEO/CFO changes)

Ticker	Company Name	Analyst	Expected timing (month/quarter)	Priority strategic focus	Analyst view on upcoming MTP
2181.T	Persol	Arai, Katsumi	May	Medium-term profit outlook and the direction of the APAC business portfolio review.	The company has already indicated a policy of stable double-digit profit growth. The outlook for the low-profitability APAC business will be a key focus going forward.
2331.T	Alsok	Arai, Katsumi	May	Formulation of a cash allocation policy and an ROE target	Potential share buybacks based on the cash allocation policy. Focus is on the possibility that the target ROE could exceed Secom's target.
3038.T	Kobe Bussan	Furukawa, Ai	December	Further detailing of store opening plans in urban areas, including the Greater Tokyo area	Further detailing of store opening plans in urban areas, including the Tokyo metropolitan area.
3563.T	FOOD & LIFE COMPANIES	Arai, Katsumi	November	Potential to accelerate store openings in China	Expansion of store openings in China. Outlook for future store openings in the U.S.
4403.T	NOF	Watanabe, Ryoichi	May	Shareholder returns / capital allocation	We think indications of upside to the ¥60bn F3/31 OP target in NOF Vision 2030 from growth of defense-related products would be positive for shares.
5801.T	Furukawa Electric	Shirakawa, Yu	Apr–May	Growth strategy	Robust growth story across the optical products, thermal, and copper foil for a positive price reaction
5802.T	Sumitomo Electric	Shirakawa, Yu	Apr–May	Growth strategy	Growth scenario in optical devices/connectors and multi-core optical cables, or b) its overseas copper wire projects are securing profits
5803.T	Fujikura	Shirakawa, Yu	Apr–May	Growth strategy	Market concerns about optical fiber procurement have faded, and if the firm can offer up a growth story for optical connectors and cables, the stock would likely react positively
6113.T	Amada	Jiang, Lisa	May	Via Mechanics acquisition strategy and shareholder return policy	Neutral / slightly positive
6140.T	Asahi Diamond	Hasegawa, Yoshihito	May	Improving profit margins and capital efficiency	Regardless of the likelihood of achievement, it may set ambitious targets.
6996.T	Nichicon	Harashima, Sota	May	Growth strategy	We expect KPIs to be presented that reflect strong demand related to AI servers.
6997.T	Nippon Chemi-con	Harashima, Sota	May	Growth strategy, structural reform	We expect KPIs to be presented that reflect strong demand related to AI servers.
7211.T	Mitsubishi Motors	Segawa, Hiroto	May	(1) strategies to compete with Chinese OEMs (2) collaboration with alliance partners (3) capital allocation (4) aftersales including sales finance.	Collaboration with alliance partners will become especially critical in the areas of electrification and software/ADAS.
9010.T	Fuji Kyuko	Osaka, Takuya	May	Shareholder returns / growth strategy	Likely shift from a "defensive" plan focused on financial health improvement to an "offensive" plan emphasizing growth strategy and stronger shareholder returns.

Source: Morgan Stanley Research

3. Stocks for which analysts expect a negative stock-price reaction

In our analyst survey, the names seen as carrying downside risk in share prices appear to share two characteristics: conservative numerical targets and a lack of strategic visibility.

Among these names, our analyst sees **Daiwa House Industry (1925)** as facing rising difficulty in achieving financial targets such as ROE, as well as weak commitment to profit targets. For **Kureha (4023)**, the near-term negative is impairment related to PVDF, and clearer capital allocation will be key to market evaluation. For **Sekisui Chemical (4204)**, our analyst believes the stock is likely to react negatively unless the company presents a path to profitability for perovskite solar cells. For **Daiichi Sankyo (4568)**, the market is likely to focus on the earnings decline associated with patent expiry and the subsequent recovery scenario. For **JAЕ (6807)**, a more conservative plan than the previous one is anticipated, limiting upside. For **Nitto Denko (6988)**, concerns center on the possibility that operating profit targets may fall short of consensus, as well as the lack of major strategic change.

Overall, the common thread across this group is an insufficient level of positive surprise relative to expectations, suggesting that the new mid-term plans carry a relatively high risk of share-price downside.

Exhibit 19: Stocks for which analysts expect a negative stock-price reaction

Ticker	Company Name	Analyst	Expected timing (month/quarter)	Priority strategic focus	Analyst view on upcoming MTP
1925.T	Daiwa House Industry	Anegawa, Toshiyuki	May	Expansion of the domestic recurring-revenue business and overseas operations	Due to changes in the business model and expansion in scale, it has become difficult to maintain the previous financial targets (especially the ROE target) and high growth.
4023.T	Kureha	Watanabe, Ryoichi	May	Shareholder returns / capital allocation	We think the announcement of PVDF impairment losses would be negative for shares in the short-term, but mark the end of bad news.
4204.T	Sekisui Chemical	Watanabe, Ryoichi	May	Growth strategy	Negative for the share price if the firm didn't give an indication of an outlook for black ink in perovskite solar cells.
4568.T	Daiichi Sankyo	Muraoka, Shinichiro	May	Growth strategy, shareholder returns, five-year plan, patent expiry countermeasures	Growth of ADC new drugs (Enhertu, Dato, and others) will drive earnings. However, with Lixiana patent expiry in 2027-28, we estimate the plan will show a V-shaped growth profile with an earnings decline in the interim years. That said, as Phase 3 results for Dato in 1L lung cancer have not yet been obtained, the company plan will likely have to assume Dato conservatively, which could result in the overall plan falling short of market expectations. Improvements in ROE and enhanced shareholder returns (dividends and share buybacks) are also key points to watch.
6807.T	JAE	Harashima, Sota	April	Growth strategy	Given the current demand environment, we expect the plan to be somewhat conservative versus the previous medium-term plan.
6988.T	Nitto Denko	Watabe, Takato	Q2	Portfolio transformation	We expect the new MTP to have FY28 as its final year, and we think the operating profit target will be around ¥200bn (consensus: ¥228bn).

Source: Morgan Stanley Research

Analyst Survey: FY2026 New MTP Candidates

Exhibit 20: FY2026 New MTP Candidates (1)

Ticker	1820.T	1893.T	1925.T	1951.T	2181.T	2331.T
Company Name	Nishimatsu Construction	Penta Ocean	Daiwa House Industry	Exeo Group	Persol	Alsok
Analyst	Yagi, Ryo	Yagi, Ryo	Anegawa, Toshiyuki	Yagi, Ryo	Arai, Katsumi	Arai, Katsumi
Expected timing (month/quarter)	May	May	May	May	May	May
Priority strategic focus	Profit growth in the construction and civil engineering businesses	Growth strategy for construction and overseas markets	Expansion of the domestic recurring-revenue business and overseas operations	Growth strategy for non-carrier businesses	Medium-term profit outlook and the direction of the APAC business portfolio review.	Formulation of a cash allocation policy and an ROE target
Anticipated price reaction	In-line	In-line	Modest downside	Modest upside	Modest upside	Upside
Analyst view on upcoming MTP	We are watching what policy the company will present regarding growth in building construction, civil engineering, revenue, and margins.	We are watching what policy the company will present regarding growth in building construction, overseas, revenue, and margins.	Due to changes in the business model and expansion in scale, it has become difficult to maintain the previous financial targets (especially the ROE target) and high growth.	Focus is on the strategy for growing the urban infrastructure and system solutions businesses.	The company has already indicated a policy of stable double-digit profit growth. The outlook for the low-profitability APAC business will be a key focus going forward.	Potential share buybacks based on the cash allocation policy. Focus is on the possibility that the target ROE could exceed Secom's target.
Analyst view on management's commitment to the upcoming MTP	The level of commitment is reasonably high.	The level of commitment is high.	Management shows strong commitment to its sales and operating profit targets.	The level of commitment is reasonably high.	Management appears highly focused on the medium-term management plan.	Management's focus on ROE in particular appears to be steadily increasing. This medium-term management plan is the first under the current management team.
Management commitment sentiment	Positive	Positive	Positive	Positive	Positive	Neutral
Historical MTP stance	Neutral	Neutral	Neutral	Aggressive	Neutral	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	Achieved	Achieved	The operating profit target was achieved ahead of schedule, but the ROE target and the D/E ratio guideline were not met.	Achieved	Earnings are broadly in line with the plan, but on the business strategy side, initiatives such as expanding offerings for the high-end segment feel somewhat lacking.	Targets were not met, mainly the ROE target.
Management changes during previous MTP (CEO/CO or equivalent)	—	—	—	CEO	—	—

Ticker	2502.T	2503.T	2587.T	2802.T	286A.T	2914.T
Company Name	Asahi Group Holdings	Kirin Holdings	Suntory Beverage & Food	Ajinomoto	Eucalia	Japan Tobacco
Analyst	Miyake, Haruka	Miyake, Haruka	Miyake, Haruka	Tsunoyama, Tomonobu	Hayashi, Ryotaro	Miyake, Haruka
Expected timing (month/quarter)	February	February	February	5-2027	—	February
Priority strategic focus	EPS growth reacceleration through organic growth, consolidation and growth of acquired asset, and shareholder returns. Beer premiumization and growth of core global brands and BAC products.	EPS growth and ROIC enhancement through profitability enhancement in beer/beverages businesses and growth in health science business. M&A in health science area also in focus.	Organic earnings growth reacceleration, M&A/growth investments, capital allocation policy	Update of the mid-term ASV management roadmap. Accelerate profit growth in healthcare, etc. (ABF, CDMO), and improve profitability in the food business.	—	Maintaining the long-term adj. OP CAGR target of M-HSD%. Heated products topline growth and investments; continued pricing and market share expansion in the cigarette business. DPS growth.
Anticipated price reaction	In-line	In-line	In-line	Modest upside	In-line	In-line
Analyst view on upcoming MTP	We expect a return to solid profit growth driven by the premiumization strategy overseas. East African business acquisition positive from a long-term perspective. We think the company will balance the debt paydown and shareholder returns.	We do not expect any significant changes to be made to the MTP. We expect the health science business' long-term success to remain uncertain, though we expect it to continue growing gradually; M&As in the area could be key.	Asia growth, and profitability improvement in Europe are the medium-to-longer-term growth drivers. Company's proactive search for further acquisitions should eventually result in reduction of net cash and ROE improvement.	The ABF and CDMO businesses are moving from an investment phase to a harvesting phase. We expect the company's upward ambition with high targets and growth opportunities not available to other food companies to be re-recognized.	—	Medium-term outlook for tobacco profit CAGR is entering a phase of reacceleration as the heavy investment for global RRP rollout peaks out
Analyst view on management's commitment to the upcoming MTP	Moderately high expectations for management commitment	Moderately high expectations for management commitment	Moderately high expectations for management commitment, though the lack of visibility on M&A opportunities may leave the shortfall risk on ROE target if the management maintains the policy to fully prioritize cash allocations to M&As over shareholder return enhancement	—	The company plans to formulate its first medium-term management plan.	Moderately high expectations for management commitment
Management commitment sentiment	Positive	Positive	Neutral	—	Neutral	Positive
Historical MTP stance	Neutral	Neutral	Neutral	Aggressive	—	Neutral
Previous MTP outcome on key KPI(s) (estimates allowed)	Likelihood of falling short	Likelihood of achievement	Likelihood of falling short	Largely achieved.	—	Likelihood of achievement
Management changes during previous MTP (CEO/CO or equivalent)	—	—	CEO/CO	CEO	—	CEO

Note: Expectations represent the views of respective coverage analysts.
Source: Morgan Stanley Research.

Exhibit 21: FY2026 New MTP Candidates (2)

Ticker	3038.T	3401.T	3405.T	3563.T	3626.T	4023.T
Company Name	Kobe Bussan	Teijin	Kuraray	FOOD & LIFE COMPANIES	TIS	Kureha
Analyst	Furukawa, Ai	Watabe, Takato	Watabe, Takato	Arai, Katsumi	Yang, Luyuan	Watanabe, Ryoichi
Expected timing (month/quarter)	December	Q2	Q4	November	April	May
Priority strategic focus	Further detailing of store opening plans in urban areas, including the Greater Tokyo area	Further promotion of customer-centric businesses	Moving away from a vinyl acetate business-centered portfolio	Potential to accelerate store openings in China	Growth strategy / capital allocation / AI strategy	Shareholder returns / capital allocation
Anticipated price reaction	Modest upside	In-line	In-line	Modest upside	In-line	Modest downside
Analyst view on upcoming MTP	Further detailing of store opening plans in urban areas, including the Tokyo metropolitan area.	We expect the plan to factor in the benefits from structural reforms in aramid and carbon fibers and earnings contributions from rare-disease drugs, but we think it is difficult to outline a major growth story.	We expect the MTP to aim for growth in isoprene and functional materials, but we think the company will continue to focus primarily on the vinyl acetate business.	Expansion of store openings in China. Outlook for future store openings in the U.S.	As IT services and software/technology companies are expected to be among the most advanced users of AI, we think attention will be on whether they can quantitatively demonstrate AI-driven growth areas, productivity gains from AI, and resulting profit growth. We also expect focus on quantitative financial KPIs, including overall revenue and profit growth outlooks, financial targets such as ROE, and shareholder return policies.	We think the announcement of PVDF impairment losses would be negative for shares in the short-term, but mark the end of bad news.
Analyst view on management's commitment to the upcoming MTP	Further detailing of store-opening plans in urban areas including the Tokyo metropolitan area, and overseas expansion including the in-flight catering business overseas for which the acquisition was announced in Mar-2026.	Management is expected to communicate messages about completing structural reforms for materials-related products and the existing pharmaceutical business, but we believe it will be difficult to present a growth strategy that the market would view positively.	From a long-term perspective, we believe earnings contribution from the activated carbon business is planned, but a significant expansion in profitability will take time.	Management has a strong focus on overseas growth.	Expectations on growth strategy, synergy with INTEC, AI strategy and AI strategy	We expect a review of the business strategy.
Management commitment sentiment	Neutral	Neutral	Neutral	Positive	Positive	Neutral
Historical MTP stance	Conservative	Aggressive	Aggressive	Conservative	Neutral	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	Performance has been tracking above the previous mid-term management plan in numerical terms.	Expected to fall significantly short	Expected to fall significantly short	Performance has been tracking above the previous mid-term management plan in numerical terms.	Topline: achieve, profit: slightly miss	Expected to fall short.
Management changes during previous MTP (CEO/CFO or equivalent)	—	—	—	—	—	CFO

Ticker	4043.T	4202.T	4204.T	4368.T	4403.T	4503.T
Company Name	Tokuyama	Daicel	Sekisui Chemical	Fuso Chemical	NOF	Astellas Pharma
Analyst	Watanabe, Ryoichi	Watanabe, Ryoichi	Watanabe, Ryoichi	Hasegawa, Yoshihito	Watanabe, Ryoichi	Muraoka, Shinichiro
Expected timing (month/quarter)	May	May	May	May	May	May
Priority strategic focus	Growth Strategy	Growth strategy	Growth strategy	Growth in revenue and operating profit	Shareholder returns / capital allocation	Growth strategy, shareholder returns, five-year plan, patent expiry countermeasures
Anticipated price reaction	Modest upside	In-line	Modest downside	In-line	Modest upside	In-line
Analyst view on upcoming MTP	If the story is convincing, we think it would be positive for shares.	If convincing growth stories are presented for the Medical/Healthcare and Smart segments, positive for the share price.	Negative for the share price if the firm didn't give an indication of an outlook for black ink in perovskite solar cells.	Whether it can set targets that align with market realities.	We think indications of upside to the ¥60bn F3/31 OP target in NOF Vision 2030 from growth of defense-related products would be positive for shares.	The company has indicated a short-to medium-term target of Core OPM of 30%+. It intends to absorb the 2027 Xtandi patent expiry through growth in current key products and cost control, and to expand and maintain Core OPM. We think the Xtandi cliff is too large to offset, making consecutive double-digit profit declines in F3/28-F3/29 unavoidable. The likelihood of a dividend cut in F3/28 has been declining.
Analyst view on management's commitment to the upcoming MTP	We expect portfolio reform and enhanced shareholder returns.	We expect the company to foster growth businesses.	We expect improved investment efficiency.	Can the company formulate a medium-term management plan that is not overly conservative?	We expect higher ROE and enhanced shareholder returns.	—
Management commitment sentiment	Neutral	Neutral	Neutral	Neutral	Neutral	—
Historical MTP stance	Aggressive	Aggressive	Aggressive	Conservative	Conservative	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	Expected to fall short.	Expected to fall short.	Expected to fall short.	Upward revision made partway through.	Expected to slightly miss.	While the company is falling short versus the aggressive plan at the time of announcement, Core OPM is improving significantly on the back of strong recent performance. Note that the company changed the definition of Core OP partway through compared with when it was announced five years ago.
Management changes during previous MTP (CEO/CFO or equivalent)	CFO	CEO	—	—	—	CEO/CFO

Note: Expectations represent the views of respective coverage analysts
Source: Morgan Stanley Research

Exhibit 22: FY2026 New MTP Candidates (3)

Ticker	4543.T	4568.T	4902.T	4927.T	4985.T	5019.T
Company Name	Terumo	Daiichi Sankyo	Konica Minolta	Pola Orbis Holdings	Earth	Idemitsu Kosan
Analyst	Hayashi, Ryotaro	Muraoka, Shinichiro	Yamazaki, Mie	Miyake, Haruka	Miyake, Haruka	Ogino, Reiji
Expected timing (month/quarter)	–	May	April	February	February	Q2
Priority strategic focus	–	Growth strategy, shareholder returns, five-year plan, patent expiry countermeasures	Growth strategy, profitability, capital allocation	Topline growth reacceleration both in Japan and overseas, with profitability improvement	Overall profitability and ROE improvement through overseas expansion and domestic profitability improvement. M&A opportunities	Shareholder returns / capital allocation
Anticipated price reaction	In-line	Modest downside	In-line	In-line	In-line	In-line
Analyst view on upcoming MTP	–	Growth of ADC new drugs (Enhertu, Dato, and others) will drive earnings. However, with Lixiana patent expiry in 2027-28, we estimate the plan will show a V-shaped growth profile with an earnings decline in the interim years. That said, as Phase 3 results for Dato in 1L lung cancer have not yet been obtained, the company plan will likely have to assume Dato conservatively, which could result in the overall plan falling short of market expectations. Improvements in ROE and enhanced shareholder	The medium-term earnings targets could exceed consensus, but we believe it will be difficult for market expectations to rise in the near term	While we think the company will finally have completed the restructuring initiatives across the businesses, we still lack conviction on topline reacceleration drivers. If Japanese consumer sentiment improves, it may provide additional tailwind for growth but the visibility remains low.	Key focus points such as overall profitability improvement and overseas growth are already addressed; execution remains key	Total payout ratio of at least 50% as consensus
Analyst view on management's commitment to the upcoming MTP	–	–	The commitment lacks certainty to some extent.	Management will likely have strong commitment to profit targets, but the topline targets may be bullish	Moderately high expectations for management commitment	–
Management commitment sentiment	Neutral	–	Negative	Positive	Positive	–
Historical MTP stance	Neutral	Neutral	Aggressive	Neutral	Conservative	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	–	Largely achieved. The company is fine-tuning its initially announced targets (reflecting strong Enhertu growth, higher R&D expenses, delays in Dato, etc.).	Expected to meet targets.	Likelihood of falling short	Likelihood of achievement	Expected to fall short.
Management changes during previous MTP (CEO/CFO or equivalent)	CEO/CFO	CEO/CFO	–	–	–	CEO

Ticker	5101.T	5108.T	5703.T	5801.T	5802.T	5803.T
Company Name	Yokohama Rubber	Bridgestone	Nippon Light Metal Holdings	Furukawa Electric	Sumitomo Electric	Fujikura
Analyst	Kakiuchi, Shinji	Kakiuchi, Shinji	Shirakawa, Yu	Shirakawa, Yu	Shirakawa, Yu	Shirakawa, Yu
Expected timing (month/quarter)	2-2027	2-2027	Apr–May	Apr–May	Apr–May	Apr–May
Priority strategic focus	Maximization of corporate value	Quality growth and financial optimization	Shareholder returns / capital allocation	Growth strategy	Growth strategy	Growth strategy
Anticipated price reaction	Modest upside	In-line	In-line	Modest upside	Modest upside	Modest upside
Analyst view on upcoming MTP	Focus is on synergy effects (cross-selling, production efficiency improvements) in agricultural machinery tires and mining tires acquired in the past.	Investors will likely focus on measures to become a global top player as a tire/rubber company, and on capital allocation toward the appropriate equity ratio level of 55%.	ROIC for each business group, and increases to shareholder returns are focus	Robust growth story across the optical products, thermal, and copper foil for a positive price reaction	Growth scenario in optical devices/connectors and multi-core optical cables, or b) its overseas copper wire projects are securing profits	Market concerns about optical fiber procurement have faded, and if the firm can offer up a growth story for optical connectors and cables, the stock would likely react positively
Analyst view on management's commitment to the upcoming MTP	–	–	Management's commitment to achieving past medium-term plans has not necessarily been high. For the current medium-term plan, management appears to be aiming to deliver for sure.	Analysts' and the market's expectations for management's commitment are relatively high. The company tends to present somewhat aggressive medium-term plan targets.	Analysts' and the market's expectations for management's commitment are relatively high. The company tends to present reasonable medium-term plan financial targets.	Analysts' and the market's expectations for management's commitment are relatively high. The company tends to present conservative plans.
Management commitment sentiment	–	–	Neutral	Positive	Positive	Positive
Historical MTP stance	Conservative	Neutral	Neutral	Aggressive	Neutral	Conservative
Previous MTP outcome on key KPI(s) (estimates allowed)	Expected to meet targets.	Earnings are expected to fall short due to a deterioration in the external environment. Shareholder returns are expected to be achieved.	Not achieved	Not achieved	Achieved	Achieved
Management changes during previous MTP (CEO/CFO or equivalent)	CFO	CEO	CEO	–	–	–

Note: Expectations represent the views of respective coverage analysts
Source: Morgan Stanley Research

Exhibit 23: FY2026 New MTP Candidates (4)

Ticker	5943.T	5947.T	6113.T	6140.T	6178.T	6702.T
Company Name	Noritz	Rinnai	Amada	Asahi Diamond	Japan Post HD	Fujitsu
Analyst	Yagi, Ryo	Yagi, Ryo	Jiang, Lisa	Hasegawa, Yoshihito	Osaka, Takuya	Tsutsuka, Tetsuro
Expected timing (month/quarter)	4Q	May	May	May	May	April
Priority strategic focus	Overseas growth strategy	Growth strategy for Japan and the U.S.	Via Mechanics acquisition strategy and shareholder return policy	Improving profit margins and capital efficiency	Shareholder returns / growth strategy	Growth strategy / capital allocation / AI strategy
Anticipated price reaction	In-line	In-line	Modest upside	Modest upside	In-line	In-line
Analyst view on upcoming MTP	Given its overseas presence is not as strong as Rinnai's, we think it will be difficult for the company to announce a plan that fosters expectations for profit growth overseas.	We are particularly focused on the U.S. profit targets and growth strategy.	Neutral / slightly positive	Regardless of the likelihood of achievement, it may set ambitious targets.	Postal services/logistics: aspiration to an integrated logistics player incl. international operations is not overly promising. Real estate: strengthen asset-turnover business. Seems very likely to step up returns (vs. current ¥50 DPS).	As IT services and software/technology companies are expected to be among the most advanced users of AI, we think attention will be on whether they can quantitatively demonstrate AI-driven growth areas, productivity gains from AI, and resulting profit growth. We also expect focus on quantitative financial KPIs, including overall revenue and profit growth outlooks, financial targets such as ROE, and shareholder return policies.
Analyst view on management's commitment to the upcoming MTP	The level of commitment is low.	The level of commitment is high.	Good track record	A key focus is whether management can provide an explanation that conveys a sense of feasibility.	High expectations for management commitment. First medium-term plan under the new president. Focus on whether this will be an event where we feel "management transformation".	Expectations on growth strategy, shareholder return policy and AI strategy are relatively high
Management commitment sentiment	Negative	Positive	Positive	Neutral	Positive	Positive
Historical MTP stance	Aggressive	Conservative	Neutral	Aggressive	Neutral	Neutral
Previous MTP outcome on key KPI(s) (estimates allowed)	Not achieved	Achieved	Already beat	Expected to fall short.	Some targets are expected to be unmet	Partially achieved
Management changes during previous MTP (CEO/CFO or equivalent)	CEO	—	—	—	CEO	—

Ticker	6787.T	6807.T	6849.T	6871.T	6890.T	6905.T
Company Name	Meiko Electronics	JAE	Nihon Kohden	Micronics Japan	Ferrotec	Cosel
Analyst	Harashima, Sota	Harashima, Sota	Hayashi, Ryotaro	Hasegawa, Yoshihito	Hasegawa, Yoshihito	Hasegawa, Yoshihito
Expected timing (month/quarter)	May	April	—	2-2027	May	June
Priority strategic focus	Growth strategy	Growth strategy	—	Demand outlook and supply capacity for probe cards for memory	Earnings growth and improved ROE	Earnings recovery and improved ROE
Anticipated price reaction	In-line	Modest downside	In-line	In-line	In-line	In-line
Analyst view on upcoming MTP	We expect the plan to reflect a robust demand environment, but also assume the market has already priced in strong medium-term fundamentals.	Given the current demand environment, we expect the plan to be somewhat conservative versus the previous medium-term plan.	—	Focus is on its view of demand for memory probe cards and the pace of expansion in supply capacity.	Targets to be set based on improvements in capital efficiency and performance.	The outlook for a return to profitability and improved performance is within expectations; focus is on whether it can outline achievable improvements in capital efficiency.
Analyst view on management's commitment to the upcoming MTP	The certainty of the commitment is relatively high.	The commitment lacks certainty to some extent.	—	Focus is on how much growth to expect outside probe cards for memory and how management allocates resources.	Focus is on the execution scenario for improving profit margins.	Expectations are for measures to break out of low ROE.
Management commitment sentiment	Positive	Negative	Neutral	Neutral	Neutral	Neutral
Historical MTP stance	Conservative	Aggressive	Aggressive	Neutral	Aggressive	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	Expected to meet targets.	Expected to miss.	Expected to fall short.	Expected to exceed targets.	The first-year target was revised upward.	Significantly below target.
Management changes during previous MTP (CEO/CFO or equivalent)	—	CEO	—	—	—	—

Note: Expectations represent the views of respective coverage analysts
Source: Morgan Stanley Research

Exhibit 24: FY2026 New MTP Candidates (5)

Ticker	6923.T	6976.T	6988.T	6996.T	6997.T	7181.T
Company Name	Stanley Electric	Taiyo Yuden	Nitto Denko	Nichicon	Nippon Chemi-con	Japan Post Insurance
Analyst	Kakiuchi, Shinji	Sato, Shoji	Watabe, Takato	Harashima, Sota	Harashima, Sota	Takemura, Atsuro
Expected timing (month/quarter)	May	May	Q2	May	May	May
Priority strategic focus	Shareholder returns / Growth strategy in non-auto	Growth strategy	Portfolio transformation	Growth strategy	Growth strategy, structural reform	Recovery of sales activity
Anticipated price reaction	In-line	In-line	Modest downside	Modest upside	Modest upside	In-line
Analyst view on upcoming MTP	Anticipate the growth strategy focus to remain on expanding the non-auto business and strengthening the motorcycle business; also focus on non-auto synergies from the acquisition of Iwasaki Electric (already announced).	We expect KPIs to be presented that reflect strong demand related to AI servers.	We expect the new MTP to have FY28 as its final year, and we think the operating profit target will be around ¥200bn (consensus: ¥228bn).	We expect KPIs to be presented that reflect strong demand related to AI servers.	We expect KPIs to be presented that reflect strong demand related to AI servers.	We expect ambitious contract targets but modest profit targets. We forecast a total payout ratio of 50%.
Analyst view on management's commitment to the upcoming MTP	—	The commitment lacks certainty to some extent.	While the company may highlight its stance as a solution provider for display advancement and a significant earnings contribution from CDMO, we see no major change from its existing direction.	The commitment lacks certainty to some extent.	The commitment lacks certainty to some extent.	(Regarding the number of in-force contracts) Analysts' and the market's expectations for management's commitment are somewhat low.
Management commitment sentiment	—	Negative	Neutral	Negative	Negative	Negative
Historical MTP stance	Neutral	Aggressive	Neutral	Aggressive	Aggressive	Neutral
Previous MTP outcome on key KPI(s) (estimates allowed)	Expected to fall short.	Expected to miss.	Expected to slightly exceed	Expected to miss.	Expected to miss.	Expected to meet targets.
Management changes during previous MTP (CEO/CFO or equivalent)	—	CEO	—	—	—	CEO/CFO

Ticker	7182.T	7211.T	7240.T	7296.T	7313.T	7731.T
Company Name	Japan Post Bank	Mitsubishi Motors	NOK	F.C.C.	TS Tech	Nikon
Analyst	Nagasaka, Mia	Segawa, Hiroto	Kakiuchi, Shinji	Kakiuchi, Shinji	Kakiuchi, Shinji	Tamura, Suzune
Expected timing (month/quarter)	May	May	May	May	May	May
Priority strategic focus	Improving ROE, restructuring the JGB portfolio, shareholder returns	(1) strategies to compete with Chinese OEMs (2) collaboration with alliance partners (3) capital allocation (4) aftersales including sales finance.	Near term: cost improvement. Long-term: growth opportunity from the integration	Shareholder returns / continued portfolio transformation	Shareholder returns	Balancing short-term earnings recovery with long-term growth investment
Anticipated price reaction	Upside	Modest upside	Modest upside	In-line	In-line	In-line
Analyst view on upcoming MTP	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate a full-scale rebuild of the JGB portfolio and enhanced shareholder returns in light of capital accumulation.	Collaboration with alliance partners will become especially critical in the areas of electrification and software/ADAS.	Even if quantitative financial targets are not disclosed for the new firm, disclosure of concrete synergies/initiatives (even qualitative) would be positive.	We think continuation of shareholder returns is already priced in, so we expect the near-term stock reaction to the new MTP to be neutral.	We think stronger shareholder returns are already priced in to some extent, so we see the share price implications as neutral.	We expect the company to clarify its turnaround policy for SLM and present a growth strategy centered on ArF immersion lithography tools, but we assume that a full-fledged earnings growth trajectory can be envisioned only from the latter half of the MTP, i.e., from FY3/28 onward.
Analyst view on management's commitment to the upcoming MTP	Expect improvements in ROE and enhanced shareholder returns.	Given the high level of uncertainty in the external environment, expectations from analysts and the market for management commitment are somewhat low.	—	—	—	While the next medium-term plan is expected to place strong emphasis on the likelihood of achieving the plan, market expectations for management's commitment do not appear high, as the current medium-term plan is likely to fall short and the company has not demonstrated results.
Management commitment sentiment	Neutral	Negative	—	—	—	Negative
Historical MTP stance	Conservative	Aggressive	Neutral	Neutral	Neutral	Aggressive
Previous MTP outcome on key KPI(s) (estimates allowed)	Exceeded.	Not achieved	Expected to fall short.	Expected to meet targets.	Expected to fall short.	Expected to fall short.
Management changes during previous MTP (CEO/CFO or equivalent)	CEO	—	CFO	—	—	—

Note: Expectations represent the views of respective coverage analysts
Source: Morgan Stanley Research

Exhibit 25: FY2026 New MTP Candidates (6)

Ticker	7936.T	7988.T	8031.T	8078.T	8219.T	8309.T
Company Name	Asics	Nifco	Mitsui & Co.	Hanwa	Aoyama Trading	SMTG
Analyst	Furukawa, Ai	Kakiuchi, Shinji	Shirakawa, Yu	Shirakawa, Yu	Koba, Hiroshi	Nagasaka, Mia
Expected timing (month/quarter)	November	May	May	May	3-2027	May
Priority strategic focus	Accelerating the pace of earnings expansion in Asia	Concrete measures for growth strategy and shareholder returns, and clarification of the optimal capital structure	Shareholder returns / capital allocation	Shareholder returns / Growth strategy / portfolio restructuring	Shareholder returns / Growth strategy	Improving ROE, fee income, shareholder returns
Anticipated price reaction	Upside	Modest upside	In-line	In-line	In-line	Modest upside
Analyst view on upcoming MTP	Acceleration of the pace of earnings expansion in Asia and a strategy to expand sales of mid-to high-priced products.	We believe prospects for growth strategy and enhanced shareholder returns are not fully priced in; expect positive initial share price reaction after full-year results.	Shares could respond negatively in the case of overly ambitious deleveraging targets.	We think shares could react positively to a clear growth story and remedial measures for unprofitable businesses.	We expect more investors to turn their attention to the resources available for shareholder returns.	Key points to watch are fee income growth, evolution of the digital strategy, and enhanced shareholder returns.
Analyst view on management's commitment to the upcoming MTP	Management has a strong focus on sustainable growth.	—	Management's commitment to achieving the medium-term plan is high.	Analysts' and the market's expectations for management's commitment are relatively high.	We see the creation of a highly convincing new growth story as critical for the company	Expect improvements in ROE and enhanced shareholder returns.
Management commitment sentiment	Positive	—	Positive	Positive	Neutral	Neutral
Historical MTP stance	Neutral	Neutral	Neutral	Neutral	Aggressive	Conservative
Previous MTP outcome on key KPI(s) (estimates allowed)	Performance has been tracking above the previous mid-term management plan in numerical terms.	Expected to meet targets.	Achieved	Not achieved	Shareholder returns are being implemented in line with the mid-term plan, but performance is expected to fall short of the plan.	Exceeded.
Management changes during previous MTP (CEO/CFO or equivalent)	CFO	CFO	—	—	CEO	CEO/CFO

Ticker	8316.T	8570.T	8795.T	9010.T	9502.T	9503.T
Company Name	SMFG	Aeon Financial Service	T&D Holdings	Fuji Kyuko	Chubu Electric Power	Kansai Electric Power
Analyst	Nagasaka, Mia	Takemura, Atsuro	Takemura, Atsuro	Osaka, Takuya	Ogino, Reiji	Ogino, Reiji
Expected timing (month/quarter)	May	April	April	May	Q2	Q2
Priority strategic focus	Improving ROE, fee income, shareholder returns	Growth strategy / capital allocation	Growth strategy including M&A	Shareholder returns / growth strategy	Shareholder returns / capital allocation	Shareholder returns / capital allocation
Anticipated price reaction	Modest upside	In-line	In-line	Modest upside	In-line	In-line
Analyst view on upcoming MTP	While assumptions may be conservative and not factor in an improving macro environment, we think it is likely the plan will indicate growth in net interest income, expansion of fee income, and enhanced shareholder returns.	Management has explained a policy of targeting operating profit of ¥100bn+ and ROE of 10%+, and we expect the plan to align with this.	While the FY2030 adjusted profit target of "¥200bn+" is likely to be revised upward, we do not expect major changes in management policy from the current mid-term plan.	Likely shift from a "defensive" plan focused on financial health improvement to an "offensive" plan emphasizing growth strategy and stronger shareholder returns.	Dividend payout ratio of 30% and share buybacks as consensus	Dividend payout ratio (DPR) in the range of 25-35% as consensus
Analyst view on management's commitment to the upcoming MTP	Expect improvements in ROE and enhanced shareholder returns.	Analysts' and the market's expectations for management's commitment are low.	Analysts' and the market's expectations for management's commitment are relatively high.	High expectations for management commitment	—	—
Management commitment sentiment	Neutral	Negative	Positive	Positive	—	—
Historical MTP stance	Conservative	Aggressive	Neutral	Conservative	Conservative	Conservative
Previous MTP outcome on key KPI(s) (estimates allowed)	Exceeded.	Expected to fall short.	Expected to meet targets.	Expected to be achieved	Expected to meet targets.	Expected to meet targets.
Management changes during previous MTP (CEO/CFO or equivalent)	CEO/CFO	CEO/CFO	CEO/CFO	—	—	CEO

Note: Expectations represent the views of respective coverage analysts

Source: Morgan Stanley Research

Exhibit 26: FY2026 New MTP Candidates (7)

Ticker	9504.T	9706.T	9744.T
Company Name	Chugoku Electric Power	Japan Airport Terminal	Meitec Group Holdings
Analyst	Ogino, Reiji	Osaka, Takuya	Arai, Katsumi
Expected timing (month/quarter)	Q2	May	May
Priority strategic focus	Shareholder returns / capital allocation	Shareholder returns / capital allocation	Maintain the status quo or pursue growth investment
Anticipated price reaction	In-line	In-line	In-line
Analyst view on upcoming MTP	DOE of 2% as consensus	Focus on price hikes as one key amid inflation and approaching slot limits at Haneda. As capex peaks in F3/26–F3/27, lifting shareholder return becomes more urgent (eying optimum capital structure with 40% shareholders' equity). Still, hurdles to just maintaining current ROE look high. Expectations of more generous returns seem priced in to some extent, expect a neutral share price response.	If it is growth investment, there is a possibility that the 100% payout ratio policy could change.
Analyst view on management's commitment to the upcoming MTP	–	High expectations for management commitment. First medium-term plan under the new president. Focus on whether this will be an event where "management changes" can be experienced, including specific action plans for "management conscious of capital costs and stock prices."	The first medium-term management plan since CEO Uemura took office.
Management commitment sentiment	–	Positive	Neutral
Historical MTP stance	Conservative	Neutral	Conservative
Previous MTP outcome on key KPI(s) (estimates allowed)	Expected to meet targets.	Expected to be largely achieved	Performance has been tracking above the previous mid-term management plan in numerical terms.
Management changes during previous MTP (CEO/CFD or equivalent)	–	CEO	–

Note: Expectations represent the views of respective coverage analysts

Source: Morgan Stanley Research

Companies that we identify as candidates to announce a new MTP in 2026 (TOPIX ex-MS coverage)

Exhibit 27: Companies that Morgan Stanley identifies as candidates to announce a new MTP in 2026 (TOPIX ex-MS coverage)

Code	Stock	TSE-33 Sec	Expected Report Date	Stock price (JPY: 4/1)	Market Cap (JPYbn)	P/E (est; X)	P/B (X)	Expected Div Yield (%)	Officer Change
1786	ORIENTAL SHIRAIISHI	Construction	5/13/2026	373	51.8	17.8	0.9	3.9	CEO/CFO Change
1929	NITTO CONSTRUCTION	Construction	5/9/2026	1,235	51.6	14.0	1.4	4.0	CEO/CFO Change
1952	SHIN NIPPON AIR TECHNOLOGIES	Construction	5/13/2026	3,260	158.3	14.1	1.9	3.4	Other director change
1975	ASAHI KOGYOSHA	Construction	5/15/2026	3,410	92.8	11.0	2.0	4.0	No recent change
2692	ITOCHU-SHOKUJIN	Whsle Trade	4/30/2026	12,980	165.1	19.8	1.3	0.6	Other director change
2733	ARATA	Whsle Trade	5/13/2026	2,966	106.9	10.0	0.8	3.8	Other director change
3167	TOKAI HOLDINGS	Whsle Trade	5/8/2026	1,164	162.6	14.2	1.5	3.1	Other director change
3591	WACOAL HOLDINGS	Text&Apparel	5/15/2026	3,957	207.7	16.0	1.0	2.5	Other director change
3708	TOKUSHU TOKAI PAPER	Pulp&Paper	5/15/2026	1,602	62.5	11.8	0.7	2.7	Other director change
3865	HOKUETSU	Pulp&Paper	5/15/2026	914	149.0	21.9	0.5	2.8	CEO/CFO Change
4299	HIMACS	Inf.&Com.	5/13/2026	1,177	12.9	10.6	1.2	3.9	CEO/CFO Change
4345	CTS	Services	4/28/2026	902	37.9	14.8	2.5	3.2	CEO/CFO Change
4471	SANYO CHEMICAL INDUSTRIES	Chemicals	5/8/2026	4,970	117.0	8.0	0.7	3.4	CEO/CFO Change
4569	KYORIN PHARMACEUTICAL	Pharm.	5/12/2026	1,645	98.6	15.7	0.7	3.5	CEO/CFO Change
4662	FOCUS SYSTEMS	Inf.&Com.	5/9/2026	1,569	25.6	11.0	1.5	4.1	No recent change
4792	YAMADA CONSULTING GROUP	Services	5/8/2026	1,637	32.6	11.4	1.7	4.7	Other director change
5218	OHARA	Gl.&Cer.Prod	12/11/2026	1,068	27.2	21.1	0.5	2.3	No recent change
5232	SUMITOMO OSAKA CEMENT	Gl.&Cer.Prod	5/13/2026	3,803	122.0	12.6	0.6	3.2	Other director change
5480	NIPPON YAKIN KOGYO	Iron & Steel	5/8/2026	4,635	71.8	9.2	0.6	4.7	Other director change
5632	MITSUBISHI STEEL MFG.	Iron & Steel	5/14/2026	1,781	28.0	16.8	0.6	4.5	Other director change
6082	RIDE ON EXPRESS HOLDINGS	Services	5/15/2026	995	10.9	13.4	1.2	1.5	Other director change
6247	HISAKA WORKS	Machinery	5/15/2026	1,532	44.0	13.9	0.7	3.6	Other director change
6330	TOYO ENGINEERING	Construction	5/15/2026	2,598	175.9	0.0	3.1	0.0	Other director change
6418	JAPAN CASH MACHINE	Machinery	5/9/2026	1,017	30.2	5.5	0.8	3.9	Other director change
6503	MITSUBISHI ELECTRIC	Elec. App.	4/28/2026	4,988	10,540.6	28.4	2.5	1.1	CEO/CFO Change
6763	TEIKOKU TSUSHIN KOGYO	Elec. App.	5/13/2026	2,687	26.5	17.7	0.9	3.7	Other director change
6941	YAMAICHI ELECTRONICS	Elec. App.	5/13/2026	7,380	161.1	16.9	3.1	1.8	Other director change
7088	FORUM ENGINEERING	Services	5/14/2026	1,696	90.6	30.1	6.5	0.0	Other director change
7994	OKAMURA	Other Prod.	5/9/2026	2,465	248.0	10.6	1.2	4.2	Other director change
8014	CHORI	Whsle Trade	4/28/2026	4,195	106.1	9.4	1.1	3.4	Other director change
8074	YUASA	Whsle Trade	5/9/2026	5,900	130.4	10.4	1.1	3.2	CEO/CFO Change
8103	MEIWA	Whsle Trade	4/30/2026	789	31.8	10.6	0.8	4.8	CEO/CFO Change
8157	TSUZUKI DENKI	Inf.&Com.	5/12/2026	3,465	65.8	10.5	1.4	3.5	Other director change
8386	HYAKUJUSHI BANK	Banks	5/12/2026	2,089	239.2	13.5	0.7	2.6	Other director change
8425	MIZUHO LEASING	Oth.Fin.Bus.	5/13/2026	1,388	392.3	8.5	0.9	3.6	Other director change
8593	MITSUBISHI HC CAPITAL	Oth.Fin.Bus.	5/15/2026	1,401	2,055.1	12.4	1.1	3.2	Other director change
9759	NSD	Inf.&Com.	5/8/2026	2,741	235.7	16.4	3.0	3.4	Other director change

Note: Ticker 9759 appears in this exhibit because it was not covered as of the survey date.

Source: Company materials, Tokyo Stock Exchange, QUICK Workstation, Morgan Stanley Research

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Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

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